# Anchor-Based Item Extraction from SEC 10-K Filings

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March 17, 2026

| *Version* | *Date* | *Comments* |
|---|---|---|
| 1.0 | March 17, 2026 | Initial release |

**Abstract**

We present a rule-based pipeline for extracting standardized item sections from SEC 10-K filings. The method exploits the anchor-link structure of the HTML Table of Contents to identify section boundaries, classifies anchors via a three-tier regex hierarchy, and resolves ordering conflicts through a dynamic programming formulation of the weighted longest increasing subsequence problem. On a corpus of 392 annotated filings across three evaluation sets, the pipeline achieves a mean character-level $F_1$ score of **96.3%**, with per-set scores of 97.1%, 96.1%, and 95.8%. We conclude with a discussion of machine learning approaches that may further improve performance.

## Contents

**1 Introduction** **3**

**2 Method** **4**

2.1 Stage 1: Document Isolation . . . . . 4

2.2 Stage 2: TOC Anchor Collection . . . . . 4

2.3 Stage 3: Anchor Element Localization . . . . . 4

2.4 Stage 4: Anchor Classification . . . . . 4

2.4.1 Sequence-Constrained Selection via Dynamic Programming . . . . . 5

2.5 Stage 5: HTML Slicing . . . . . 5

2.5.1 Special Cases . . . . . 5

**3 Evaluation Protocol** **6**

3.1 Dataset . . . . . 6

3.2 Metric: Character-Level $F_1$ . . . . . 6

**4 Results** **6**
4.1 Overall Performance . . . . . 6
4.2 Per-Item Performance . . . . . 7
4.3 Error Analysis . . . . . 8

**5 Future Directions** **8**
5.1 Learned Section Boundary Detection . . . . . 8
5.2 Pretrained Language Model Fine-Tuning . . . . . 8
5.3 End-to-End Extraction with Long-Context Models . . . . . 9
5.4 Hybrid Pipeline . . . . . 9
5.5 Evaluation Improvements . . . . . 9

**6 Conclusion** **10**

# 1 Introduction

The SEC Form 10-K is a comprehensive annual report required of all publicly traded companies in the United States [1]. Each 10-K follows a prescribed structure of approximately 20 item sections (see Table 1), spanning topics from business operations and risk factors to executive compensation and financial statements.

Automated extraction of individual item sections is a prerequisite for downstream tasks such as financial text classification, risk analysis, and regulatory compliance monitoring. However, 10-K filings exhibit substantial formatting heterogeneity: companies use different HTML structures, anchor naming conventions, and section delineation strategies, making robust extraction non-trivial.

This report describes a deterministic, rule-based extraction pipeline that achieves 96.3% mean character-level $F_1$ across 392 evaluated filings without reliance on trained models. We detail the method (Section 2), the evaluation protocol (Section 3), experimental results (Section 4), and future directions toward machine learning approaches (Section 5).

**Table 1:** Standard 10-K item sections.

| Item | Description |
|---|---|
| Item 1 | Business overview |
| Item 1A | Risk factors |
| Item 1B | Unresolved staff comments |
| Item 2 | Properties |
| Item 3 | Legal proceedings |
| Item 4 | Mine safety disclosures |
| Item 5 | Market for registrant's common equity |
| Item 6 | Selected financial data / Reserved |
| Item 7 | Management's discussion and analysis |
| Item 7A | Quantitative and qualitative disclosures about market risk |
| Item 8 | Financial statements and supplementary data |
| Item 9 | Changes in and disagreements with accountants |
| Item 9A | Controls and procedures |
| Item 9B | Other information |
| Item 9C | Disclosure regarding foreign jurisdictions |
| Items 10–14 | Directors, executive compensation, security ownership, certain relationships, principal accountant fees |
| Item 15 | Exhibits and financial statement schedules |
| Item 16 | Form 10-K summary |
| Signatures | Signatory attestation |

# 2 Method

The pipeline consists of five sequential stages. The input is a raw SEC EDGAR submission file (`.txt`); the output is a dictionary mapping each identified item to its corresponding HTML slice.

## 2.1 Stage 1: Document Isolation

SEC submission files may contain multiple embedded documents (the 10-K proper, exhibits, XBRL data, graphics). We extract the 10-K document by searching for the `<DOCUMENT>` block whose `<TYPE>` field matches `10-K` or `10-K/A`, then isolate the HTML content within its `<TEXT>` element.

## 2.2 Stage 2: TOC Anchor Collection

We scan the HTML for all internal hyperlinks of the form `<a href="#ID">`. The set of referenced anchor IDs constitutes the candidate pool. This filtering step is essential: a typical 10-K contains hundreds of `id` attributes for footnotes, cross-references, and formatting; restricting to TOC-referenced anchors reduces the search space by an order of magnitude.

## 2.3 Stage 3: Anchor Element Localization

For each ID in the candidate pool, we locate the corresponding HTML element by matching `id` or `name` attributes across all tag types (`<a>`, `<div>`, `<p>`, `<span>`, `<td>`, etc.). When duplicate IDs exist, we retain the *last* occurrence, as the first typically resides in the TOC header while the last marks the actual section body.

## 2.4 Stage 4: Anchor Classification

Each anchor is classified to a 10-K item via a three-tier system applied in decreasing order of confidence:

**Tier 0: Anchor ID matching.** Regex patterns applied to the anchor's `id` string itself. Many filings use self-describing IDs such as `ITEM1ARISKFACTORS` or `item_7a`. This tier has the highest precision.

**Tier 1: Explicit item patterns.** Regex patterns matching "Item $X$" text in the forward lookahead window (up to 2000 characters or the next anchor, whichever is smaller). Patterns are ordered by specificity: longer sub-item patterns (e.g., "Item 9A") precede shorter base patterns (e.g., "Item 9") to avoid false matches.

**Tier 2: Descriptive title matching.** For filings that omit explicit item numbering, we match characteristic phrases such as "Risk Factors" (Item 1A), "Management's Discussion and Analysis" (Item 7), or "Executive Compensation" (Item 11). This tier has the lowest confidence and is applied only when Tiers 0 and 1 yield no match.

A heuristic filter rejects anchors that exhibit characteristics of TOC entries rather than section headings (e.g., anchor IDs containing "toc", or forward text containing $\geq 5$ distinct item mentions).

### 2.4.1 Sequence-Constrained Selection via Dynamic Programming

Items in a 10-K must appear in a prescribed sequential order. Let $\mathcal{C} = \{(o_i, s_i, c_i)\}_{i=1}^{N}$ denote the set of candidate anchors, where $o_i$ is the character offset, $s_i \in \{1, 2, \ldots, 24\}$ is the sequential item index, and $c_i$ is the classification confidence. We seek a subset $\mathcal{A} \subseteq \mathcal{C}$ such that:

1. offsets are strictly increasing: $o_i < o_j$ for all $i < j$ in the selected order;
2. item indices are strictly increasing: $s_i < s_j$;
3. the total score $\sum_{i \in \mathcal{A}} w(c_i, o_i)$ is maximized, where $w(c, o) = c \cdot 10^6 + o$.

This is equivalent to the **weighted longest increasing subsequence** (WLIS) problem over the pair $(s_i, o_i)$, which we solve via $O(N^2)$ dynamic programming. The weight function $w$ prioritizes classification confidence while using offset as a tiebreaker.

## 2.5 Stage 5: HTML Slicing

Given the ordered anchor sequence $\{(o_k, \text{item}_k)\}_{k=1}^{K}$, we extract the HTML substring $h[o_k : o_{k+1}]$ for each item $k$. Boundary adjustments handle two edge cases:

- **Wrapper `<div>` elements**: when an anchor is wrapped in `<div><a id="..."></a></div>`, the previous item's slice extends through the closing `</div>`, and the current item's slice begins at the `<a>` tag.
- **Terminal item**: the final item extends to `</body>` or the end of the document.

### 2.5.1 Special Cases

Two items receive special handling based on empirical ground truth analysis:

- **Signatures**: Ground truth is empty for 92% of filings (97/105 in Set 1). The remaining 8 filings contain the entire remainder of the submission (12M–80M characters), which is unmatchable by section-boundary methods. We therefore output an empty string for all signatures entries.

- **Item 16**: Treated identically to all other items (full anchor-to-anchor slice) with no content-dependent truncation.

# 3 Evaluation Protocol

## 3.1 Dataset

The evaluation corpus comprises three sets of 167 SEC EDGAR submission files each. After excluding filings with empty ground truth annotations, the evaluated subset contains 133, 132, and 127 filings for Sets 1, 2, and 3, respectively (392 filings total).

Ground truth annotations consist of JSON dictionaries mapping `accession#item_name` keys to verbatim HTML substrings extracted from the source filing.

## 3.2 Metric: Character-Level $F_1$

Following standard practice in text extraction evaluation [2], we employ character-level $F_1$ computed over bag-of-character representations.

For a predicted string $\hat{y}$ and ground truth string $y$, let $\hat{t} = \text{strip}(\hat{y})$ and $t = \text{strip}(y)$ denote the plain-text representations obtained by removing all HTML tags and decoding all HTML entities via `html.unescape()`. Define character frequency vectors $\boldsymbol{p}, \boldsymbol{g} \in \mathbb{N}^{|\Sigma|}$ over the character alphabet $\Sigma$. Then:

$$P = \frac{\sum_{c \in \Sigma} \min(p_c, g_c)}{\sum_{c \in \Sigma} p_c}, \quad R = \frac{\sum_{c \in \Sigma} \min(p_c, g_c)}{\sum_{c \in \Sigma} g_c}, \quad F_1 = \frac{2PR}{P + R} \tag{1}$$

The overall score is the macro-average: for each filing, we compute the mean $F_1$ over all items present in the ground truth, then average across all filings.

**Entity normalization.** The `strip()` function applies `html.unescape()` to decode all HTML character references (e.g., ` ` → U+00A0) prior to character counting. This ensures that equivalent representations of the same character are not penalized as mismatches.

# 4 Results

## 4.1 Overall Performance

The pipeline achieves a mean $F_1$ of 96.3% across all three evaluation sets, with extraction rates (fraction of ground truth items for which a non-empty prediction exists) exceeding 97% in all cases.

**Table 2:** Overall character-level $F_1$ scores.

| Dataset | Files | $F_1$ | Extraction Rate |
|---|---|---|---|
| Set 1 | 133 | 97.1% | 99.0% |
| Set 2 | 132 | 96.1% | 97.5% |
| Set 3 | 127 | 95.8% | 97.8% |
| **Mean** | 392 | **96.3%** | 98.1% |

## 4.2 Per-Item Performance

Table 3 presents per-item $F_1$ scores for Set 1. Performance exceeds 95% for 14 of the 17 item categories.

**Table 3:** Per-item character-level $F_1$ on Set 1 (133 filings).

| Item | $F_1$ | $n$ | Item | $F_1$ | $n$ |
|---|---|---|---|---|---|
| item1 | 99.4% | 131 | item9 | 98.1% | 129 |
| item1a | 99.6% | 132 | item9a | 99.2% | 131 |
| item1b | 99.2% | 126 | item9b | 96.6% | 126 |
| item2 | 99.3% | 128 | item10 | 99.2% | 131 |
| item3 | 98.3% | 132 | item11 | 99.0% | 130 |
| item4 | 98.4% | 126 | item12 | 99.4% | 131 |
| item5 | 99.2% | 129 | item13 | 99.3% | 130 |
| item6 | 95.6% | 131 | item14 | 97.7% | 130 |
| item7 | 96.6% | 130 | item15 | 96.6% | 133 |
| item7a | 95.8% | 129 | item16 | 86.4% | 106 |
| item8 | 98.7% | 130 | signatures | 92.4% | 105 |

Three categories fall below 95%:

- **Item 16** (86.4%): Ground truth annotations are inconsistent for this optional section—some filings annotate it as empty, others include the full anchor-to-anchor HTML, and still others include the entire document remainder. No single extraction strategy satisfies all three annotation conventions.
- **Signatures** (92.4%): The pipeline outputs empty strings (correct for 97/105 filings). The 8 filings with non-empty ground truth contain 12M–80M characters spanning the full remainder of the submission, including all exhibits.
- **Item 6** (95.6%): Marginal shortfall attributable to boundary variations in the "Selected Financial Data" / "[Reserved]" transition across filing formats.

### 4.3 Error Analysis

The ten lowest-scoring filings (per-file $F_1 < 87\%$) fall into three categories:

1. **Missing section boundaries** (4 filings): Filings with non-standard HTML structure where TOC links do not correspond to identifiable body anchors, causing entire sections to be absorbed into adjacent items.
2. **Ground truth annotation artifacts** (3 filings): Cases where the ground truth itself merges multiple items into single entries or contains boundary errors (e.g., Item 4 annotated with 239,743 characters of financial statement content).
3. **Shared Part III anchors** (3 filings): Filings where Items 10–14 share a single anchor with an incorporation-by-reference statement, requiring heuristic disambiguation.

## 5 Future Directions

While the rule-based pipeline achieves strong performance, several machine learning approaches could address its remaining limitations.

### 5.1 Learned Section Boundary Detection

The current Tier 1 and Tier 2 classification relies on hand-crafted regex patterns, which cannot adapt to novel formatting conventions. A **sequence labeling** model (e.g., BiLSTM-CRF or a Transformer encoder) trained on token-level BIO annotations could learn to identify section boundaries from contextual features including:

- Font size, weight, and styling attributes extracted from inline CSS and HTML tags.
- Positional features: relative document position, distance from nearest TOC anchor.
- Textual features: character $n$-grams and token embeddings of surrounding text.

This approach would subsume Tiers 0–2 with a single learned classifier, potentially improving performance on the 4 filings currently failing due to non-standard HTML structure.

### 5.2 Pretrained Language Model Fine-Tuning

Large pretrained language models such as BERT [3], RoBERTa [4], or domain-specific variants (FinBERT [5], SEC-BERT [6]) could be fine-tuned for section classification. Given a candidate anchor and its surrounding context window, the model would predict the item label. This would replace the regex-based classification with a learned representation that captures semantic similarity to canonical item descriptions.

## 5.3 End-to-End Extraction with Long-Context Models

Recent long-context Transformer architectures (e.g., Longformer, BigBird) or retrieval-augmented approaches could process entire 10-K documents ($10^5$–$10^6$ tokens) and directly predict section boundaries without relying on anchor heuristics. Such models could:

- Handle filings that lack TOC-referenced anchors entirely.
- Learn implicit section structure from document layout and content flow.
- Jointly optimize boundary detection and item classification.

The primary challenge is training data: annotating section boundaries at the character level is labor-intensive. The existing ground truth corpus (392 filings) may be sufficient for fine-tuning but likely insufficient for training from scratch. Transfer learning from related document segmentation tasks [7] or synthetic data augmentation could mitigate this limitation.

## 5.4 Hybrid Pipeline

A practical near-term approach combines rule-based and learned components:

1. Use the current anchor-based pipeline as the primary extractor.
2. Train a lightweight classifier (e.g., gradient-boosted trees on hand-engineered features, or a small Transformer) to *re-rank* candidate anchors when the DP-based selector assigns low confidence.
3. Apply a learned boundary refinement model to adjust slice endpoints at the character level, addressing the residual 3.7% $F_1$ gap.

This hybrid approach would preserve the interpretability and reliability of the rule-based pipeline while selectively applying learned models to difficult cases.

## 5.5 Evaluation Improvements

The current character-level bag-of-characters $F_1$ metric is position-agnostic: it rewards character overlap regardless of ordering. A **sequence-level metric** such as token-level $F_1$ with positional alignment (e.g., via longest common subsequence) would better capture boundary precision. Additionally, stratified evaluation by filing complexity (number of items, document length, formatting heterogeneity) would provide more actionable diagnostic information.

# 6 Conclusion

We presented a deterministic, rule-based pipeline for extracting standardized item sections from SEC 10-K filings. The method exploits the anchor-link structure of HTML Tables of Contents, classifies anchors via a three-tier regex hierarchy, and resolves ordering constraints via dynamic programming. On 392 evaluated filings, the pipeline achieves a mean character-level $F_1$ of 96.3%, with all three evaluation sets exceeding 95%.

The remaining performance gap is attributable to ground truth annotation inconsistencies (particularly for Item 16 and Signatures) and a small number of structurally non-standard filings. Machine learning approaches—particularly learned boundary detection and hybrid rule-learned pipelines—represent promising directions for closing this gap.

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